IN THE SUPREME COURT OF INDIA

CRIMINAL ORIGINAL JURISDICTION • BENCH OF THREE HON'BLE JUDGES

WRIT PETITION (CRIMINAL) NO. 123 OF 2024

DATED THIS THE 10TH DAY OF OCTOBER, 2024

BETWEEN:

ASSOCIATION OF DIGITAL MERCHANTS & COMMERCIAL ACCOUNT HOLDERS **... PETITIONER**

(By Adv. Kapil Sibal, Senior Advocate with Adv. Nizam Pasha)

AND:

1. UNION OF INDIA, Ministry of Finance & Ministry of Home Affairs **... RESPONDENTS**
2. STATE OF MAHARASHTRA & ORS.
3. INDIAN BANKS' ASSOCIATION (IBA)

(By Sri. Tushar Mehta, Solicitor General of India for Union of India;
Senior Counsel for Indian Banks' Association)

ORDER & JUDGMENT

1. The short question of law referred to this Bench concerns the scope and ambit of police seizure of bank accounts under Section 102 of the Code of Criminal Procedure, 1973 (and Section 106 of the BNSS, 2023) in the wake of automated requisitions generated through the National Cyber Crime Reporting Portal (NCRP).

2. A bank account represents a debt owed by the bank to the customer. While the balance credit in a bank account is 'property' capable of seizure under Section 102 as held in Nevada Properties Pvt. Ltd. v. State of Maharashtra (2019) 20 SCC 119, such power must strictly satisfy two statutory prerequisites: (a) reasonable suspicion that the specific money seized is connected to the commission of an alleged offence, and (b) immediate reporting of the seizure to the jurisdictional Magistrate.

3. The mandate of Section 102(3) CrPC is absolute: every police officer effecting a freeze shall forthwith report the seizure to the Magistrate having jurisdiction. Omission to communicate the freeze to the Magistrate within reasonable time vitiates the seizure and renders the freeze void ab initio.

4. Proportionality requires that where only a specific tranche of money is alleged to be tainted, banks are legally prohibited from freezing the entire account. The debit freeze must be strictly confined to the disputed amount.

OPERATIVE DIRECTIONS

(i) Directives are issued Pan-India to all High Courts, Director Generals of Police, and Scheduled Commercial Banks.

(ii) Blanket freezes of entire operating bank accounts where only fractional amounts are flagged on the NCRP portal are declared illegal.

(iii) Failure by Investigating Officers to report Section 102 freezes to the Magistrate within 48 hours shall entitle the account holder to automatic de-freezing upon application.

CERTIFIED TRUE COPY
High Court of Karnataka / Registry
Copy Application No: CA-28912/2024
Examined by: Superintendent (Judicial)

Sd/-
REGISTRAR (JUDICIAL)
HIGH COURT OF RECORD
Seal Affixed on Date of Pronouncement